

CV-25-007268 CRUZ, VANESSA vs COVENANT CARE CALIFORNIA LLC – Defendant’s Motion to Compel Arbitration – DENIED.

County: stanislaus

Division: Civil Law and Motion

Department: 21

Hearing date: 2012-04-02

Motion: Governing Law Under both federal and state law, it is the Court’s responsibility to determine whether the parties agreed to arbitrate the dispute. (See 9 U.S.C. § 4 [“If the making of the arbitration agreement ... be in issue, the court shall proceed summarily to the trial thereof”]; Code Civ. Proc., § 1281.2 [If the court “determines that [a written] agreement to arbitrate a controversy exists ... [it may order enforcement].”]; Brockman v. Kaiser Foundation Hospitals (2025) 114 Cal.App.5th 569, 585, reh’g denied (Oct. 16, 2025), review denied (Dec. 17, 2025) [“[A] court, before granting a petition to compel arbitration, ‘must determine the factual issue of ‘the existence or validity of the arbitration agreement.’ ”’ [Citations.]”] [emphasis in original].) State law applicable to contracts generally governs whether a valid agreement to arbitrate exists. (See Perry v. Thomas (1987) 482 U.S. 483, 492; Stutler v. T.K. Constructors Inc. (6th Cir. 2006) 448 F.3d 343, 347; Metters v. Ralphs Grocery Co. (2008) 161 Cal.App.4th 696, 701 [“Federal policy in favor of arbitration does not come into play ... until a court has found the parties entered into a valid contract under state law.”].) Once the existence of the agreement is established, the burden of establishing grounds that prevent its enforcement is on Plaintiffs as the challengers. (See Mission Viejo Emergency Medical Associates v. Beta Healthcare Group (2011) 197 Cal.App.4th 1146, 1153-1154.) While the Court recognizes that the purported arbitration agreement contains a delegation clause, this dispute raises foundational issues, including whether Ms. Lopez possessed ostensible authority to agree to the arbitration provisions on behalf of her father. The law dictates that, regardless of the inclusion of a delegation clause in the subject agreement, these types of foundational issues ought to be determined by the Court. (Bruni v. Didion (2008) 160 Cal.App.4th 1272, 1285.) Discussion In contending that a valid agreement to arbitrate exists, Defendants mainly rely on the declaration of Jennifer Warkentin, a former Executive Director at the facility. Ms. Warkentin asserts that she was present when Valerie Lopez signed the arbitration agreement on behalf of the decedent, Juan Cruz. Ms. Warkentin states that, before Ms. Lopez signed the paperwork, Ms. Warkentin spoke with Mr. Cruz to ask him if Ms. Lopez was authorized to sign on his behalf, and he stated that she was so authorized. Ms. Warkentin further asserts that she explained to both Mr. Cruz and Ms. Lopez that the arbitration agreement was not a condition of residency. The Warkentin declaration does not contain a description of in what manner she asked Mr. Cruz about the arbitration agreement. Ms. Warkentin’s declaration appears contradicted by the declaration of Valerie Lopez. Ms. Lopez asserts that, at the time she signed the admission paperwork, she had no legal authority to act on behalf of her father. While Mr. Cruz did ultimately execute a power of attorney agreement naming Ms. Lopez as his attorney-in-fact, that did not occur until several months after the admission paperwork was completed. Ms. Lopez also states that her father was not present with her when she completed the paperwork (as he was still in the hospital that day), she does not recall anyone explaining the arbitration agreement to her, she does not recall Ms. Warkentin asking her if she was authorized to sign the arbitration agreement and the residency papers on her father’s behalf, and her father never spoke with Ms. Warkentin or any other staff at the facility until after his admission. Lack of recollection is typically insufficient to overcome a direct assertion, but here the failure to describe the means by which Mr. Cruz was contacted leaves a substantial gap in the testimony presented. Defendant appears to concede that ratification was likely required. The evidence before the Court that Further, supporting documentation appears to adhere more closely to Ms. Lopez’s version of events. The record contains evidence establishing that decedent was not admitted to the facility until September 21, 2023, the day after the arbitration agreement was signed. Facility admission records reflect an admission date of September 21, 2023, and Plaintiffs’ evidence further shows that Valerie Lopez signed the admission and arbitration documents on September 20, 2023, while decedent was still hospitalized and not present at the facility. (See 6/11/26 Fish Decl., Exhs. 1-5.) In addition, there is a “required” section that should have been completed explaining Ms. Lopez’s authority to sign on her father’s behalf, but that section of the paperwork was left blank. (See 11/14/25 Warkentin Decl., Exh. A [pdf p. 9].) Finally, the only power of attorney agreement presented to the Court is dated January 5, 2024. (See 11/14/25 Morris Decl., Exh. C.) It was not in effect at the time that the admission paperwork was executed. Conclusion Because it appears to the Court that Ms. Lopez lacked actual or ostensible authority to sign on behalf of the decedent on admission to the facility, it further appears that no valid agreement was formed.

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Governing Law

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Once the existence of the agreement is established, the burden of establishing grounds that prevent its enforcement is on Plaintiffs as the challengers. (See *Mission Viejo Emergency Medical Associates v. Beta Healthcare Group* (2011) 197 Cal.App.4th 1146, 1153-1154.)

While the Court recognizes that the purported arbitration agreement contains a delegation clause, this dispute raises foundational issues, including whether Ms. Lopez possessed ostensible authority to agree to the arbitration provisions on behalf of her father. The law dictates that, regardless of the inclusion of a delegation clause in the subject agreement, these types of foundational issues ought to be determined by the Court. (*Bruni v. Didion* (2008) 160 Cal.App.4th 1272, 1285.)

Discussion

In contending that a valid agreement to arbitrate exists, Defendants mainly rely on the declaration of Jennifer Warkentin, a former Executive Director at the facility. Ms. Warkentin asserts that she was present when Valerie Lopez signed the arbitration agreement on behalf of the decedent, Juan Cruz. Ms. Warkentin states that, before Ms. Lopez signed the paperwork, Ms. Warkentin spoke with Mr. Cruz to ask him if Ms. Lopez was authorized to sign on his behalf, and he stated that she was so authorized. Ms. Warkentin further asserts that she explained to both Mr. Cruz and Ms. Lopez that the arbitration agreement was not a condition of residency.

The Warkentin declaration does not contain a description of in what manner she asked Mr. Cruz about the arbitration agreement.

Ms. Warkentin's declaration appears contradicted by the declaration of Valerie Lopez. Ms. Lopez asserts that, at the time she signed the admission paperwork, she had no legal authority to act on behalf of her father. While Mr. Cruz did ultimately execute a power of attorney agreement naming Ms. Lopez as his attorney-in-fact, that did not occur until several months after the admission paperwork was completed. Ms. Lopez also states that her father was not present with her when she completed the paperwork (as he was still in the hospital that day), she does not recall anyone explaining the arbitration agreement to her, she does not recall Ms. Warkentin asking her if she was authorized to sign the arbitration agreement and the residency papers on her father's behalf, and her father never spoke with Ms. Warkentin or any other staff at the facility until after his admission.

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Conclusion

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